22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of December 31, 2022 to be effective for the year ended December 31, 2022 is 24.9%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three-month periods ended March 31, 2022 and 2021 are calculated as follows:

(1) Ordinary shares

(In millions of Korean won, thousands of number of shares)	**2022**	**2021**
Profit for the period attributable to owners of the parent company	11,129,094	7,092,786
Profit for the period available for ordinary shares	9,780,878	6,233,542
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	1,638	1,044

(2) Preference shares

(In millions of Korean won, thousands of number of shares)	**2022**	**2021**
Profit for the period attributable to owners of the parent company	11,129,094	7,092,786
Profit for the period available for preference shares	1,348,216	859,244
Weighted-average number of preference shares outstanding	822,887	822,887
Basic earnings per preference share *(in Korean won)*	1,638	1,044

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three-month periods ended March 31, 2022 and 2021.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the three-month periods ended March 31, 2022 and 2021 are as follows:

- Adjustments

(In millions of Korean won)	**2022**	**2021**
Adjustments:		
Income tax expense	3,745,212	2,608,960
Financial income	(1,745,834)	(1,218,970)
Financial expenses	1,462,863	866,497
Post-employment benefits	350,896	339,184
Depreciation	9,009,031	7,147,736
Amortization	770,477	695,542
Bad debt expenses (reversal)	11,425	(3,356)
Dividend income	(268,509)	(8,734)
Share of profit of associates and joint ventures	(232,477)	(147,519)
Gain on disposal of property, plant and equipment	(50,420)	(75,471)
Loss on disposal of property, plant and equipment	4,196	9,842
Loss on valuation of inventories	772,044	578,786
Others	76,826	91,359
Total	13,905,730	10,883,856

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2022**	**2021**
Changes in assets and liabilities :		
Increase in trade receivables	(2,369,191)	(2,105,232)
Increase in non-trade receivables	(566,904)	(36,668)
Increase in prepaid expenses	(520,881)	(367,337)
Increase (decrease) in inventories	(6,407,793)	1,205,901
Increase in trade payables	616,577	254,272
Increase (decrease) in other payables	(1,164,358)	473,480
Increase (decrease) in advances received	223,193	(11,851)
Increase (decrease) in withholdings	(385,713)	20,122
Decrease in accrued expenses	(3,120,255)	(2,200,255)
Increase in provisions	406,978	72,707
Payment of post-employment benefits	(142,330)	(118,436)
Other	(802,638)	(521,371)
Total	(14,233,315)	(3,334,668)

For the three-month periods ended March 31, 2022 and 2021, cash outflows from principal repayment (financial activities) amount to ₩ 238,374 million and ₩ 193,240 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 30,012 million and ₩ 25,835 million, respectively.